

Startup Fundraising Strategy

A Guide to Valuation, Equity, and Securing Investment

Prepared for TasteNova

How Much Equity Should You Give?

When raising your early rounds (Pre-Seed or Seed), the golden rule is to **not give away too much of your company early on.**

- **Standard Equity to Give:** Generally, founders give away 10% to 20% of their company in an early funding round.
- **Danger Zone:** Giving away more than 25% in your first round is dangerous. You need to leave enough equity for yourself and future investors in later rounds.
- **Founder Control:** Retaining 80%+ after your first round ensures you stay motivated and in control of the company direction.

Valuing Your Startup

Investment amount and equity dictate your company's valuation.

Math: Investment Amount / Equity Given = Post-Money Valuation

Scenario A: The Pre-Seed Round

- You ask for: ₹30 Lakhs
- Equity you offer: 10%
- Implied Valuation: ₹3 Crores (Post-Money)
- *Best for: Angel Investors, Friends & Family, Micro-VCs*

Valuing Your Startup (Cont.)

Scenario B: The Seed Round

- You ask for: ₹1 Crore
- Equity you offer: 15%
- Implied Valuation: ₹6.6 Crores (Post-Money)
- *Best for: Institutional Seed Funds, Prominent Angel Networks*

How to Structure the Deal?

You don't always have to price your company immediately. Most early startups use flexible instruments:

1. SAFE Note (Simple Agreement for Future Equity)

- *Highly Recommended!*
- It's a quick, simple contract where an investor gives you money today, and that money converts into shares *later* during a future priced round. Very low legal fees.

How to Structure the Deal? (Cont.)

2. Convertible Note

- Similar to a SAFE, but acts as a loan with an interest rate until it converts into equity.

3. Priced Equity Round

- You actually issue fresh shares at a fixed price immediately. Requires more legal work, valuation agreements, and negotiation.

What You Need Prepared

Before you talk to an investor, have a "Data Room" (a Google Drive folder) ready with:

1. **Pitch Deck:** *(Already Done!)*
2. **App/Platform Demo:** A video recording or TestFlight/APK link proving the product works. *(Huge advantage for TasteNova!)*

What You Need Prepared (Cont.)

3. **Financial Projections (Model):** An Excel sheet showing your expected costs, revenue, and cash burn for the next 18-24 months.
4. **Cap Table:** A simple spreadsheet showing who currently owns what percentage of the company (usually just you at 100% right now).

Legal Requirements

Investors won't wire money to your personal bank account. You must have:

- **Private Limited Company (Pvt Ltd):** You must incorporate TasteNova as a Pvt Ltd company in India. Investors cannot easily invest in Sole Proprietorships or LLPs.
- **Current Account:** A corporate bank account in the company's name.
- **Founder Vesting Agreement:** Investors will want you to earn your shares over time (usually 4 years). This proves you won't take the money and leave the startup on day 1.

How to Find & Approach Investors

1. Angel Networks (India)

Apply to groups like Indian Angel Network, Mumbai Angels, or Lead Angels. They pool money from multiple rich individuals.

2. Micro VCs & Accelerators

Firms like 100X.VC, Y Combinator, or Blume Founders Fund are great for early-stage startups with a built MVP.

3. Cold Outreach via LinkedIn / Twitter

Find founders of successful food-tech startups and message them for advice. Advice often leads to investment!

The Fundraising Process

1. **The Teaser:** Send a short email with 3 bullet points about traction and your Pitch Deck PDF.
2. **The First Meeting (30 mins):** Share your story, the problem, and show them the working app.
3. **Due Diligence:** If they like it, they will ask for your financial model and legal documents.
4. **Term Sheet:** They give you an offer outlining the money and equity.
5. **Money in the Bank:** You sign, and the funds are wired to the TasteNova account.

Final Golden Rules

- **Raise slightly more than you need.** Things always take longer and cost more than expected.
- **Don't wait to be "perfect".** Your app is built, you are ready to start having conversations now.
- **Create FOMO (Fear Of Missing Out).** Talk to multiple investors at the same time so no one feels they have all the leverage.